come down more sharply in the coming decades. More working age people will mean more workers, especially in the productive age groups, more incomes, more savings, more capital per worker, and more growth. Also, because demographic change is associated with fertility declines, the transition period may be accompanied by greater female participation in the labour force[1].

As per the IMF, every fast-growing Asian economy in recent years has accelerated as it underwent a demographic transition. In India[2] itself, the high growth states (Tamil Nadu, Karnataka, and Gujarat) in the period 1991-2001 had a dependency ratio which was 8.7 percentage points lower than that of the low growth states (Bihar, Madhya Pradesh, and Uttar Pradesh) and an average annual growth rate that was 4.3 percentage points higher. Looking ahead, the low growth states will benefit more from the demographic dividend, as higher incomes and lower fertility alter demographics. Indeed, over the period 2001-11, the hitherto laggard states have grown at an average of around 5 per cent annually. The difference between their growth and that of the leaders in the period 2001-11 is just 1.5 percentage. So demographic transition seems to be correlated with growth, with some reasons to believe that causality flows both ways i.e., lower dependency ratios increase growth and higher growth reduces fertility and consequently dependency ratios.

These optimists point to another reason for cheer. Cross-country evidence suggest that productivity is an increasing function of age, with the age group 40-49 being the most productive because of work experience[3]. Nearly half the additions to the Indian labour force over the period 2011-30 will be in the age group 30-49, even while the share of this group in China, Korea, and the United States will be declining. That India will be expanding its most productive cohorts even while most developed countries and some developing countries like China will be contracting theirs in the coming decades can be another source of advantage.

However, the as pessimists are not convinced. A larger workforce translates into more workers only if there are productive jobs for it. Will there be enough productive jobs? One way to make progress in answering this question is to understand the commonalities as well as the differences between India’s growth path and that of other populous fast growing Asian